

The Political Economy of Trade Policy

ECON 308 – International Economic Relations Chapter 10

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The Central Paradox of Trade Policy

- **Every credible trade economist agrees:** free trade raises aggregate welfare.
- Yet:
 - The US maintains **298% tariffs** on Canadian butter, 17% on Canadian softwood lumber, 50% on washing machines.
 - Canada restricts dairy, poultry, and eggs under **supply management**.
 - The EU paid billions in agricultural **export subsidies** for decades.
 - Brazil protected its auto industry for 40 years — it remained globally uncompetitive.
- **If the economics are clear, why does bad trade policy persist?**

The Answer

Good policy is not just about efficiency. Trade policy involves *distribution*: it creates concentrated gains for some and concentrated losses for others. Politics responds to distribution, not aggregate efficiency.

Learning Objectives

1. Explain why free trade is rarely achieved despite being optimal in aggregate.
2. Apply the collective action problem and capture theory to trade policy.
3. Evaluate the infant industry argument and when it is valid.
4. Explain strategic trade policy and its limits.
5. Describe the structure and achievements of GATT/WTO.
6. Analyse regional trade agreements using trade creation and trade diversion.
7. Apply these frameworks to current Canadian trade policy debates.

The Political Economy Framework

Why governments protect:

- **Specific factors model (Ch. 4):** owners of factors specific to import-competing sectors lose from free trade. They have *clear, concentrated interests* in protection.
- **H-O model (Ch. 5):** the scarce factor loses from free trade in the long run. Workers in labour-scarce rich countries face pressure.

The collective action problem (Olson, 1965):

- Losers from trade are *concentrated* in specific industries and regions. They organise, donate, and vote on this issue.
- Gainers from trade are *diffuse*: all consumers gain a little. Not worth organising.

Concentrated losers

50,000 steel workers
each lose \$20K/year

Diffuse gainers

38M Canadians
each gain \$26/year
= \$1B total

Political outcome: Protection

Stigler's Capture Theory and Rent-Seeking

Stigler's Capture Theory (1971)

Regulatory agencies and trade policy institutions tend to be “captured” by the industries they regulate. The regulator acts in the interest of the regulated industry rather than the public.

Why capture happens:

- Industry has deep expertise and provides information to regulators.
- Revolving door: regulators often become industry lobbyists.
- Industry provides campaign finance; consumers do not.
- **Rent-seeking:** resources spent lobbying for

Supply Management

Canada's Dairy Farmers of Ontario and BC Milk Marketing Board control supply quotas and lobby effectively.

Annual cost to Canadian consumers: ~\$700 per household (Conference Board of Canada).

Annual gain to dairy farmers: ~\$600K per farm operation (quota value).

Despite economists' consensus that supply management is inefficient, it persists because the 20,000 dairy farm families have enormous political power.

The Median Voter and Trade Policy

Median Voter Theorem: in a two-party system, both parties converge to the position of the median voter.

Application to trade:

- If the median voter is a *worker* in an import-competing industry, trade protection is the winning policy.
- If the median voter benefits from cheaper imports as a consumer, free trade is optimal politically.
- The median voter's identity depends on the structure of the economy and how trade distributes gains/losses.

Stokey/Krugman critique: median voter theory oversimplifies; organised interest groups

Discussion

Canada vs. US dairy politics:

Both USMCA and TPP/CPTPP negotiations involved pressure to open Canadian dairy markets. Canada agreed to *small* quota expansions but kept supply management intact.

Why did Canada not simply abolish supply management, given that economists and trade partners favour this? What does the median voter theory predict?

Arguments for Trade Protection: Overview

Economic arguments (potentially valid):

1. **Optimal tariff:** large-country ToT gain (Ch. 9).
2. **Infant industry:** learning-by-doing + market failures.
3. **Strategic trade policy:** oligopolistic rents.
4. **Second-best arguments:** other market failures (environmental externalities, labour market distortions).

Non-economic arguments:

1. National security: strategic industries.
2. Income distribution: help the poor.
3. Reciprocity: retaliate against unfair foreign trade practices.

Economists' Evaluation

The optimal tariff and some infant-industry arguments are theoretically valid. But in practice:

- Governments cannot easily identify industries that meet the criteria.
- Protection creates rent-seeking and tends to become permanent.
- Direct subsidies are almost always more efficient than tariffs as a policy instrument.

Verdict: free trade with targeted adjustment assistance is generally preferable.

The Infant Industry Argument: Theory

Infant Industry Argument (Hamilton 1791, List 1841)

A new industry that has not yet achieved its minimum efficient scale or accumulated necessary learning-by-doing may need temporary protection until it can compete internationally.

When the argument is theoretically valid:

1. **Learning externalities:** firm's learning benefits spill to competitors. Firm cannot appropriate all returns to learning $\Rightarrow$ underinvestment in learning.
2. **Capital market failure:** firm cannot borrow against future productivity gains $\Rightarrow$ underinvestment in scale.

If these market failures exist, **temporary**

The key test:

For the infant industry argument to be valid, both of these must hold:

1. The current period cost of protection is outweighed by future efficiency gains.
2. The market failure (learning externality or capital market failure) prevents the private sector from making these investments itself.

The Infant Industry Argument: Problems in Practice

Why infant industry protection often fails:

1. **Government cannot identify winners:** bureaucrats are not better than markets at picking industries with genuine EoS or learning.
2. **Temporary becomes permanent:** protected industries lobby to stay protected even after they have matured.
3. **Moral hazard:** protection reduces incentives to become competitive.
4. **Rent-seeking costs:** protected industry spends resources lobbying to maintain protection.
5. **Better instruments:** a direct subsidy

Bombardier: Ambiguous Outcome

Governments supported Bombardier's C-Series aircraft (> \$1B in subsidies).

Good news: A220 is a commercial success under Airbus.

Bad news:

- US imposed 300% tariff (Boeing complaint).
- Bombardier had to cede majority to Airbus.
- Taxpayers bore losses; Airbus captured the gains.
- "Temporary" support lasted 20+ years.

Strategic Trade Policy

Brander-Spencer Model (1985)

In an oligopolistic industry with profit shifting, a **government export subsidy** can shift oligopoly rents from a foreign firm to the domestic firm, potentially raising domestic welfare even net of the subsidy cost.

The logic:

- Suppose Boeing (US) and Airbus (EU) are the only producers of commercial aircraft.
- EU subsidises Airbus $\Rightarrow$ Airbus commits to higher output.
- Boeing reduces output (best response in Cournot competition).
- Airbus captures more profit than it costs the EU in subsidies.

Krugman's Assessment (1987)

Strategic trade policy is theoretically coherent but *dangerous* in practice:

- Governments rarely know the market structure.
- Retaliation triggers subsidy wars.
- Political process distorts which industries get supported (lobbying $\neq$

The WTO: A Rules-Based Trading System

History:

- **GATT (1947)**: General Agreement on Tariffs and Trade. 23 founding members. Eight negotiating rounds reduced average tariffs from $\sim 40\%$ to $< 4\%$.
- **Uruguay Round (1986–94)**: created the **WTO (1995)**; extended coverage to services (GATS) and intellectual property (TRIPS).
- **WTO today**: 164 members (including China since 2001).

Three core WTO principles:

1. **Most-Favoured Nation (MFN)**: equal tariff rates to all members.
2. **National treatment**: foreign goods treated

WTO Dispute Settlement

The WTO's Dispute Settlement Body (DSB) provides binding arbitration.

Process: consultation $\rightarrow$ panel $\rightarrow$ Appellate Body $\rightarrow$ implementation.

Canada at the WTO:

- **Won**: US steel safeguard tariffs (2019).
- **Lost**: dairy TRQ allocation.
- **Ongoing**: softwood lumber CVD disputes.

WTO rules provide leverage for small countries against large ones.

Regional Trade Agreements: Types and Growth

Four levels of integration:

1. **Free Trade Area (FTA)**: zero tariffs among members; each member keeps its own external tariff. Example: **USMCA/CUSMA** (Canada, US, Mexico).
2. **Customs Union (CU)**: FTA + common external tariff. Example: **European Union**.
3. **Common Market (CM)**: CU + free movement of factors (labour and capital). Example: EU Single Market.
4. **Economic Union**: CM + policy harmonisation (fiscal, monetary). Example: **Eurozone**.

As of 2023: >350 RTAs notified to the WTO.

Canada's RTA Portfolio

- **CUSMA/USMCA** (2020): replaces NAFTA; adds digital trade, stronger IP, labour standards.
- **CPTPP** (2018): 11 Pacific Rim countries. Canada's most ambitious agreement.
- **CETA** (2017): Canada-EU Comprehensive Economic and Trade Agreement. Covers services and investment.
- **Bilateral FTAs**: with South Korea, Chile, Colombia, Honduras, Jordan, Panama, Peru, Ukraine.

Canada is one of the most RTA-active countries in the world.

Trade Creation vs. Trade Diversion: Viner (1950)

Two Welfare Effects of RTAs (Viner, 1950)

Trade creation: RTA induces shift from high-cost domestic production to lower-cost partner imports. Consumers gain; net welfare **rises**.

Trade diversion: RTA shifts imports from low-cost non-member (now facing tariff) to higher-cost member (now tariff-free). Consumers may gain but government loses revenue; net welfare may **fall**.

When does creation dominate?

- Partner countries are efficient producers.
- Pre-RTA tariffs were high (large creation potential).
- External tariff is low (little diversion)

CUSMA Auto Content Rules

CUSMA requires 75% North American content for autos to qualify for zero tariff.

This is deliberate **trade diversion**: it diverts auto parts procurement from cheaper Asian suppliers (South Korea,

Canada-US Softwood Lumber Dispute: A Case Study in Trade Politics

The dispute (ongoing since 1982):

- US lumber industry alleges Canadian **stumpage fees** (provincial charges for harvesting Crown timber) are below market value $\Rightarrow$ constitute a subsidy.
- US Commerce Dept. imposes **countervailing duties (CVDs)**: 14–24% in recent rounds.
- Canada disputes at WTO and CUSMA dispute panels; wins most rulings.
- US generally ignores adverse rulings or finds new grounds for CVDs.

Current status: $\sim$ 17% CVD + anti-dumping duties on Canadian lumber.

Group	Effect
BC/Alberta mill workers	Lose (\$B/yr)
BC forest companies	Lose
US homebuilders	Lose (higher costs)
US lumber producers	Gain
US lumber workers	Gain
Canadian federal gov't	Trade dispute costs

Lesson

Even clear WTO victories don't guarantee compliance. Trade law is enforced imperfectly when domestic politics in the large country resist.

Key Takeaways

1. Trade policy is shaped by **political economy**: concentrated losers lobby effectively; diffuse gainers do not.
2. **Capture theory**: regulatory bodies tend to serve industry interests over public welfare.
3. The **infant industry argument** is theoretically valid under learning externalities or capital market failure but rarely works well in practice — subsidies are better.
4. **Strategic trade policy** is theoretically coherent but practically dangerous — invites retaliation and requires precise knowledge governments don't have.
5. The **WTO** provides rules-based constraint on protection that has dramatically reduced tariffs globally.
6. RTAs create *and* divert trade — net welfare depends on which dominates.
7. Real trade policy reflects **political bargaining** as much as economic logic — Canada's softwood lumber case illustrates how legal victories don't guarantee outcomes.

Synthesis: What Have We Learned in ECON 308?

The arc of the course:

1. **Ch. 2:** What does trade look like? Gravity model.
2. **Ch. 3:** Why trade? Comparative advantage.
3. **Ch. 4:** Short-run distributional effects: specific factors.
4. **Ch. 5:** Long-run factor endowments: H-O.
5. **Ch. 6:** Terms of trade and welfare.
6. **Ch. 7:** EoS and intra-industry trade.
7. **Ch. 9:** Trade policy instruments and costs.
8. **Ch. 10:** Why bad policy persists.

The Bottom Line

Free trade raises aggregate welfare through comparative advantage, scale economies, and variety. But it creates real distributional conflict.

Good trade policy must:

1. Facilitate the efficiency gains from trade.
2. Compensate and adjust those who lose.
3. Resist politically powerful but economically damaging protection.
4. Engage multilaterally (WTO, FTAs) to sustain the rules-based system.